



“We have not seen any change, be it in consumption or sales, from rural India. Amul has penetrated rural India very deeply and gets 38% of its sales from centres with a population of fewer than 20,000”

JAYEN MEHTA MD,
GCMMF (AMUL)



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MOHIT MALHOTRA
CEO, DABUR INDIA

of India’s target of 4% (with a leeway of two percentage points either way) for as many as 56 months up to May this year.

According to some, the problem is deeper-rooted. “Demonetisation and implementation of GST during 2016-2017 hurt the MSMEs, which support a significant portion of livelihoods... then came the pandemic,” says a former FMCG industry executive who now advises leading corporates.

SILVER LINING

While a full-fledged recovery in demand, especially from rural and low-income households, may be some

time away, things are looking up. Sanjiv Puri, President of the Confederation of Indian Industry (CII), says things are looking up. “We are seeing some green shoots of a pick-up in the rural economy. The monsoon is better, which will help have better crops and this augurs well for the rural economy,” he said at a press conference in mid-June.

Sales of two-wheelers at the dealer level have grown by 33% in April, albeit on a low base, continuing a slow recovery that began last October. Maruti Suzuki’s Bhargava says it may take over two years for consumers to return to the small-car market. “Small-car sales will revive after the two-wheeler volumes reclaim their levels before BSVI came into force and prices went up. I guess we have to wait at least till late 2026 before customers are back as the impact of these high prices will be absorbed by the increase in the purchasing power of people in that category,” he says.

In the FMCG market, demand from rural households is gaining pace. The latest data from Nielsen IQ shows that while volume offtake in the rural market remained muted till March 2023, volumes have begun to grow. From 4% last July, rural volumes have grown 5.8% in December and at a relatively fair rate of 7.6% in the March quarter. In fact, in that quarter, volume growth in the rural market outpaced the urban growth (5.7%) after more than three years.

Mohit Malhotra, CEO of Dabur India, which has greater exposure to the rural market than its peers, is riding the wave. He says there was an uptick in rural consumption in the March quarter, with rural growth ahead of urban for the first time in three years. “Rural growth is kind of coming back. We’ve seen 120-150 basis points improvement in rural India. While urban growth is almost the same or a little bit down, rural growth is picking up, and that’s happening sequentially in the two to three months we have seen,” Malhotra says.

From contracting at a rate of 5%, rural growth is now closing towards 6% or growing at 130 basis points ahead of the urban rate, Malhotra says. “We are optimistic that with the expected normal monsoons, improving macro-economic indicators, government spending, and lower inflation, FMCG demand will see a gradual uptick primarily driven by rural, [and] that augurs well for Dabur,” he says.

According to Sudhir Sitapati, MD & CEO of Godrej Consumer Products Ltd (GCPL), the company has launched a drive to grow rural sales. “One of the areas we are focussing on is rural distribution, particularly for new categories... Aspiration and relevance are increasing in rural areas, but affordability remains challenging. We aim to crack affordability, which we see as a key driver for growth in these markets,” he says.

Others like Nestlé’s Narayanan say the market will be watching out for a good monsoon, and with a new gov-